

MODEL SOLUTION WALKTHROUGH · 20 MIN INDIVIDUAL · 5 MIN PRESENT · 5 MIN Q&A

Choosing Metrics: Leading vs Lagging

Six candidate numbers. One feature. Here's ONE worked model solution, step by step — your own answers don't need to match it, but they should be defended the same way.

- 1 Know the two definitions
- 2 Anchor to the outcome
- 3 Classify the candidates
- 4 Choose your leading metric
- 5 Choose your lagging metric
- 6 Stress-test the pair

Today's feature: Round-up savings — every card payment is rounded up to the nearest ₹10 (₹127 → ₹130), and the ₹3 spare change is swept into a savings goal. This deck shows one worked model — a leading metric and a lagging metric chosen and defended step by step. Use it to check your own reasoning, not to copy the answer.

BEFORE YOU START

How this exercise works

Six steps, ~3 minutes each — this deck shows one model solution for each, worked on one feature

20-MINUTE TIMEBOX, THEN 5 + 5

0:00–0:02	Read the brief below. Write nothing yet.
0:02–0:05	Step 1 · Know the two definitions
0:05–0:08	Step 2 · Anchor to the outcome
0:08–0:11	Step 3 · Classify the candidates
0:11–0:14	Step 4 · Choose your leading metric
0:14–0:17	Step 5 · Choose your lagging metric
0:17–0:20	Step 6 · Stress-test the pair
0:20	Timer stops — worksheet closed, no more writing
+5 min	Present your pair of metrics as one story (cue card ahead)
+5 min	Take questions from the room (guide ahead)

THE FEATURE YOU'RE MEASURING

“Round-up savings” — every debit card payment is rounded up to the nearest ₹10, and the spare change is swept into a savings goal the customer picked (e.g. ‘Goa trip’). It just shipped to 100% of customers.

Worked example: Pay ₹127 for groceries → charged ₹127, but ₹130 is the round-up line → ₹3 auto-moved to “Goa trip” savings. Pay ₹45 for coffee → ₹5 moved. Pay ₹280 exactly → ₹0 moved (already a multiple of ₹10).

The question: “In two sentences, how will we know this feature is actually working?” Your VP wants ONE leading and ONE lagging number, not a dashboard of twenty.

HOW TO USE THIS DECK

- Every step ahead shows ONE model answer, fully worked — this is a solution walkthrough, not a blank worksheet.
- Your own answers don't need to match this model — but they need the same kind of reasoning behind them.
- Use it to prep your own 5-minute presentation and to sanity-check your reasoning before you present.



Why this matters Teams that pick the wrong pair either can't tell if they're winning for months (all-lagging) or celebrate a number that means nothing (all-vanity). This is the single most common product mistake.

Know the two definitions

A leading indicator moves first and predicts the outcome. A lagging indicator moves last and proves the outcome actually happened. You need both — one to steer by, one to trust.

MODEL ANSWER — ONE WORKED SOLUTION, ~3 MIN TO READ

1

1 Leading, in your own words

A leading metric moves first and predicts the outcome — you can usually see it move within days or weeks.

2 Lagging, in your own words

A lagging metric moves last and proves the outcome really happened — it usually takes weeks or months to move.

3 A non-banking example

Studying hours this week (leading) → exam score next month (lagging). Neither alone tells the whole story.

4 Why you need both

Leading-only risks chasing a number that never proves real value. Lagging-only means you find out too late to fix anything.

? CHECK YOUR UNDERSTANDING

Which pairing correctly matches (LEADING, LAGGING) for the same underlying goal?

A. (Revenue closed this quarter, Sales calls made this week)

B. (Sales calls made this week, Revenue closed this quarter)

C. (Customer churn last year, Support tickets opened yesterday)

D. (App store rating today, Weekly active users today)

Model answer: B — Calls made THIS WEEK predict revenue closed LATER — leading comes first in time and predicts; lagging comes later and confirms. A and C have the order backwards; D pairs two same-day numbers, neither leads the other.

Anchor to the outcome

You can't classify or choose metrics without first naming the outcome they're supposed to prove. Skip this and every later step becomes a guess.

MODEL ANSWER — ONE WORKED SOLUTION, ~3 MIN TO READ

2

1 The outcome hypothesis

We believe round-up savings will help occasional savers build a habit; we'll know it worked when their savings balance grows even without manual deposits.

2 Who benefits, specifically

Customers who want to save but rarely do it manually — not power savers who already run SIPs or auto-debits.

3 The real-world change

In 6 months, a typical customer's savings balance is meaningfully higher, built from many small automatic transfers instead of manual ones.

4 The trap to avoid

Total customers who SAW the feature announcement — rises purely from marketing reach and proves nothing about real saving behaviour.

? CHECK YOUR UNDERSTANDING

Which of these is a well-formed outcome hypothesis for round-up savings?

A. "We will launch round-up savings to all customers."

C. "Round-ups are a good feature customers will like."

B. "We believe automatic round-ups will help occasional savers build a habit; we'll know when their savings balance grows even without manual deposits."

D. "We will track how many people use round-up savings."

Model answer: B — It names WHO (occasional savers), WHAT changes (a habit, balance growth without manual deposits), and a way to know. A is a launch plan, C is an opinion with no measure, D is a tracking plan with no outcome behind it.

Classify the candidates

Six real candidate metrics for round-up savings. Two are genuinely leading, two are genuinely lagging, and two are vanity — they look good but prove nothing on their own.

MODEL ANSWER — ONE WORKED SOLUTION, ~3 MIN TO READ

3

1 M1 — % of eligible customers who opt in within 30 days of first seeing the feature *LEADING — moves within days of launch, before anyone has actually saved anything.*

2 M2 — Avg. time between opt-in and a customer's first completed round-up *LEADING — signals real engagement, not just curiosity, soon after opt-in.*

3 M3 — % of opted-in customers still opted in after 90 days (not disabled) *LAGGING — confirms sustained behaviour, but only that they didn't switch it off.*

4 M4 — Growth in savings balance, QoQ, opted-in customers vs. a matched control group *LAGGING (strongest) — proves a real, causal savings effect vs. a control group.*

5 M5 — Total ₹ of spare change swept into savings across all customers this month *VANITY — a raw, unnormalized total with no per-customer baseline.*

6 M6 — Number of 5-star app-store reviews mentioning 'round-up' or 'savings' *VANITY — a sentiment proxy, disconnected from actual usage or saving outcomes.*

? CHECK YOUR UNDERSTANDING

A colleague says M5 (total ₹ swept this month) is a great leading indicator because the number is already going up. What's wrong with their reasoning?

Model answer: M5 is a raw, unnormalized total — it rises just because the customer base grows or a few whales sweep large amounts; it has no per-customer baseline or comparison, so it can't tell you whether the FEATURE is working for a typical customer. That makes it a vanity metric, not a leading one, however fast it moves.

Choose your leading metric

A good leading metric moves within days or weeks, is something the team can actually act on, and plausibly predicts the lagging metric you'll pick next.

MODEL ANSWER — ONE WORKED SOLUTION, ~3 MIN TO READ

4

1 Model pick

M2 — avg. time between opt-in and a customer's first completed round-up.

2 Speed test

Within days of opt-in — the team doesn't have to wait for a monthly cycle to see it move.

3 Actionability test

If it's slow, the team can add an in-app nudge or simplify first-time setup right away.

4 Correlation test

Completing an actual round-up is a far stronger signal of real intent than merely opting in — M1 shows interest, M2 shows use.

? CHECK YOUR UNDERSTANDING

Which property must a good LEADING metric have that a lagging metric does NOT need?

A. It must be measurable at all

C. It must be a larger number than the lagging metric

B. It must move fast enough to act on before the lagging outcome is known

D. It must be reported to the board every quarter

Model answer: B — Speed-to-signal is the whole point of a leading metric — it lets you course-correct before you'd otherwise find out (too late) from the lagging number. A, C and D are either true of both kinds of metric or irrelevant.

Choose your lagging metric

A good lagging metric proves the outcome really happened — ideally with a comparison that rules out ‘it would have happened anyway’.

MODEL ANSWER — ONE WORKED SOLUTION, ~3 MIN TO READ

5

1 Model pick *M4 — growth in savings balance, QoQ, opted-in customers vs. a matched control group.*

2 Proof test *Balance growth isolates the feature's own effect on real saving behaviour, not just that people enrolled.*

3 Causality check *The matched control group of non-opted-in customers rules out ‘this would have happened anyway’ from general market or seasonal saving trends.*

4 Time horizon *At least one quarter (90 days) of data before the comparison means anything.*

CHECK YOUR UNDERSTANDING

Between M3 (90-day retention of opt-in) and M4 (balance growth vs. control group), which is the stronger proof of impact — and why?

Model answer: M4. Retention (M3) only shows people didn't turn the feature off — it doesn't prove they're actually saving more. M4 compares opted-in customers against a matched control group, isolating the feature's own causal effect on real savings behaviour, which is what the outcome hypothesis actually promised.

Stress-test the pair

Goodhart's Law: any metric that becomes a target can be gamed. Before you trust your leading metric, imagine exactly how someone could move it without the lagging metric moving at all.

MODEL ANSWER — ONE WORKED SOLUTION, ~3 MIN TO READ

6

- | | | |
|---|---------------------|---|
| 1 | The gaming scenario | <i>Pre-select round-up as the default with a confusing way to opt out — inflates M1/M2 without real customer intent.</i> |
| 2 | The tell | <i>The lagging metric (M4) wouldn't move — balance growth vs. control would stay flat, or opt-outs would rise soon after.</i> |
| 3 | Your guardrail | <i>Track the 30-day opt-out / disable rate as an early-warning number — separate from the leading or lagging pick.</i> |
| 4 | Your headline | <i>“Opt-in looks great, but real savings didn't grow — the metric was likely gamed, not the outcome achieved.”</i> |

- ?** **CHECK YOUR UNDERSTANDING**
- Opt-in rate (leading) hits 90% but 90-day retention (a check on the real outcome) crashes to 10%. What does this most likely tell you?**
- Model answer: The leading metric was almost certainly gamed — e.g. round-up was pre-selected as a default with a confusing way to decline, inflating opt-in without real intent. Classic Goodhart's Law: once opt-in became the target, it stopped reliably measuring genuine adoption. This is exactly why a leading metric needs a guardrail, not blind trust.*

WHEN THE TIMER STOPS • PRESENT • 5 MINUTES

Turn your metric pair into a 5-minute case

Walk the room through why THIS leading metric and THIS lagging metric — not a tour of all six candidates

1

Outcome

0:00–0:45

Your outcome hypothesis: who benefits, and what changes for them.

2

The six, briefly

0:45–1:45

Name your L/G/V call on each of M1–M6 — fast, no debate yet.

3

Your leading metric

1:45–2:45

Which one, and why it's fast, actionable, and predictive — not just 'it moves.'

4

Your lagging metric

2:45–3:45

Which one, and what makes it real proof — the comparison or control, if any.

5

The stress test

3:45–4:45

How someone could game your leading metric, and the guardrail that would catch it.

6

One line close

4:45–5:00

'If I only had these two numbers, here's what I'd conclude in 90 days.'



The room already knows the feature Don't re-explain round-up savings — everyone did this exercise on it. Spend your time on WHY your pair, not WHAT the feature does.

THEN · AUDIENCE Q&A · 5 MINUTES

Ask the question that tests the CHOICE, not the feature

Everyone in the room asks — aim at one step in their reasoning and probe it

1

Definitions

"Give me a non-banking example — does your leading/lagging pair actually hold up?"

2

Outcome

"Who specifically is this for — would it look different for a different customer?"

3

Classification

"Why is M5 or M6 vanity and not leading — convince me it's not just semantics?"

4

Leading pick

"How many days would it really take before that number told you anything?"

5

Lagging pick

"What would make you doubt this number was really caused by the feature?"

6

Stress test

"Walk me through exactly how your guardrail metric would catch the gaming."



For the presenter If a question stumps you, don't bluff. Say exactly what you'd need to check to be sure — that's still a correct answer about metrics.



For the audience The best questions try to break the pairing: can you get one metric to move without the other meaning anything? Aim there.

DURING Q&A

Peer feedback — rate what you just heard

Everyone fills this in for the presenter while asking and listening — hand it to them after their round

Step	They sounded like they understood this step if...	The red flag to listen for	Your rating
1	They gave a real example, not just the textbook definition.	Reciting 'leading predicts, lagging confirms' with no example.	✓ ? ✕
2	Their outcome names WHO and WHAT changes for them.	'We believe it will help customers' — no one specific.	✓ ? ✕
3	They can defend WHY M5/M6 are vanity, not just label them.	Calling a vanity metric 'leading' because it moves fast.	✓ ? ✕
4	Their leading pick is fast AND actionable AND predictive.	Picking the biggest number instead of the fastest signal.	✓ ? ✕
5	Their lagging pick has some form of comparison or control.	'It's lagging because it takes a long time' — no causal link.	✓ ? ✕
6	They named a real gaming scenario and a specific guardrail.	'Someone could cheat' with no concrete mechanism.	✓ ? ✕



After each round Hand the presenter one filled-in row — your rating plus a specific reason. That written note is more useful than anything said out loud in 5 minutes.



The one-sentence test If a classmate can't tell you which of their two numbers they'd trust MORE and why, they haven't actually chosen — they've just labelled six metrics.